

House File 1037

S-3174

1 Amend House File 1037, as passed by the House, as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 HOUSING

6 Section 1. Section 15A.1, subsection 1, paragraph b, Code
7 2025, is amended to read as follows:

8 b. For purposes of *this chapter*, “*economic development*”
9 means private or joint public and private investment involving
10 the creation of new jobs and income or the retention of
11 existing jobs and income that would otherwise be lost or the
12 provision of workforce housing.

13 Sec. 2. Section 15A.1, subsection 2, Code 2025, is amended
14 by adding the following new paragraph:

15 NEW PARAGRAPH. e. Development policies that advance the
16 development of workforce housing.

17 Sec. 3. Section 403.17, subsection 14, Code 2025, is amended
18 to read as follows:

19 14. “*Low ~~or~~ and moderate income families*” means those
20 families, including single person households, earning no
21 more than eighty percent of the higher of the median family
22 income of the county or the statewide nonmetropolitan area as
23 determined by the latest United States department of housing
24 and urban development, section 8 income guidelines.

25 Sec. 4. Section 403.17, Code 2025, is amended by adding the
26 following new subsection:

27 NEW SUBSECTION. 14A. “*Low and moderate income family*
28 *housing*” means housing for low and moderate income families and
29 includes housing that meets the requirements of section 15.353.

30 DIVISION II

31 DIVISION OF REVENUE — SCHOOL FOUNDATION LEVY

32 Sec. 5. Section 403.19, subsection 2, paragraph a, Code
33 2025, is amended to read as follows:

34 a. That portion of the taxes each year in excess of such
35 amount shall be allocated to and when collected be paid into a

1 special fund of the municipality to pay the principal of and
2 interest on loans, moneys advanced to, or indebtedness, whether
3 funded, refunded, assumed, or otherwise, including bonds
4 issued under the authority of [section 403.9, subsection 1](#),
5 incurred by the municipality to finance or refinance, in whole
6 or in part, an urban renewal project within the area, and to
7 provide assistance for low and moderate income family housing
8 as provided in [section 403.22](#). However, except as provided
9 in paragraph "b", taxes for the regular and voter-approved
10 physical plant and equipment levy of a school district imposed
11 pursuant to [section 298.2](#), foundation property taxes of a
12 school district imposed under section 257.3, and taxes for the
13 instructional support program of a school district imposed
14 pursuant to [section 257.19](#), taxes for the payment of bonds
15 and interest of each taxing district, and taxes imposed under
16 section 346.27, subsection 22, related to joint county-city
17 buildings shall be collected against all taxable property
18 within the taxing district without limitation by the provisions
19 of [this subsection](#).

20 Sec. 6. APPLICABILITY. This division of this Act applies
21 to property taxes due and payable in fiscal years beginning
22 on or after July 1, 2027, that are levied against any of the
23 following:

24 1. Property located in an urban renewal area for which the
25 ordinance providing for a division of revenue takes effect on
26 or after January 1, 2026.

27 2. Property annexed or otherwise included in an urban
28 renewal area after the effective date of the ordinance
29 providing for a division of revenue if the annexation or
30 inclusion occurs on or after January 1, 2026.

31 DIVISION III

32 DIVISION OF REVENUE — CHAPTER 422D PROPERTY TAX LEVY

33 Sec. 7. Section 403.19, subsection 2, paragraph a, Code
34 2025, is amended to read as follows:

35 a. That portion of the taxes each year in excess of such

1 amount shall be allocated to and when collected be paid into a
2 special fund of the municipality to pay the principal of and
3 interest on loans, moneys advanced to, or indebtedness, whether
4 funded, refunded, assumed, or otherwise, including bonds
5 issued under the authority of [section 403.9, subsection 1](#),
6 incurred by the municipality to finance or refinance, in whole
7 or in part, an urban renewal project within the area, and to
8 provide assistance for low and moderate income family housing
9 as provided in [section 403.22](#). However, except as provided
10 in paragraph "b", taxes for the regular and voter-approved
11 physical plant and equipment levy of a school district imposed
12 pursuant to [section 298.2](#) and taxes for the instructional
13 support program of a school district imposed pursuant to
14 section 257.19, taxes for the payment of bonds and interest
15 of each taxing district, taxes for emergency medical services
16 imposed pursuant to chapter 422D, and taxes imposed under
17 section 346.27, subsection 22, related to joint county-city
18 buildings shall be collected against all taxable property
19 within the taxing district without limitation by the provisions
20 of [this subsection](#).

21 Sec. 8. APPLICABILITY. This division of this Act applies
22 to property taxes due and payable in fiscal years beginning on
23 or after July 1, 2026.

24 DIVISION IV

25 LIMITATIONS ON DIVISION OF REVENUE

26 Sec. 9. Section 357H.9, subsection 1, Code 2025, is amended
27 by adding the following new paragraph:

28 NEW PARAGRAPH. *Of.* Section 403.19, subsection 2, paragraph
29 "e", shall not apply to a division of revenue under this
30 section.

31 Sec. 10. Section 403.19, subsection 2, Code 2025, is amended
32 by adding the following new paragraph:

33 NEW PARAGRAPH. *e.* For urban renewal areas for which an
34 ordinance providing for a division of revenue is not limited
35 in duration under section 403.17, subsection 10, or section

1 403.22, subsection 5, after fifteen years following the
2 effective date of this division of this Act or after fifteen
3 years from the calendar year following the calendar year in
4 which the municipality first certifies to the county auditor
5 the amount of any loans, advances, indebtedness, or bonds which
6 qualify for payment from the division of revenue, whichever
7 is later, the amount determined under paragraph "a" that may
8 be paid into the municipality's special fund shall not exceed
9 seventy-five percent of the amount otherwise determined under
10 paragraph "a" but for this paragraph and such excess amounts
11 shall be allocated and paid to the respective taxing districts
12 in the same manner as amounts under subsection 1. However,
13 beginning with the sixth year that such an urban renewal area
14 is subject to this paragraph, the amount determined under
15 paragraph "a" that may be paid into the municipality's special
16 fund shall not exceed sixty percent of the amount otherwise
17 determined under paragraph "a" but for this paragraph and such
18 excess amounts shall be allocated and paid to the respective
19 taxing districts in the same manner as amounts under subsection
20 1.

21 DIVISION V

22 URBAN RENEWAL AREA HOUSING AND RESIDENTIAL DEVELOPMENT 23 REQUIREMENTS

24 Sec. 11. Section 403.22, subsection 1, Code 2025, is amended
25 by adding the following new paragraph:

26 NEW PARAGRAPH. d. (1) For municipalities of any population
27 size, and notwithstanding any minimum low and moderate income
28 family housing requirement, if the public improvement project
29 is approved on or after July 1, 2025, but before July 1, 2026,
30 and is related to housing and residential development in an
31 economic development area containing property that has been
32 located entirely within the corporate limits of a city for
33 twenty years or more, the amount to be provided for low and
34 moderate income family housing for such projects shall not be
35 required to be greater than an amount equal to twenty percent

1 of the original project cost.

2 (2) In addition, and notwithstanding subsection 5, the
3 division of the revenue under section 403.19 for each project
4 under this paragraph shall be limited to tax collections for
5 twenty fiscal years beginning with the second fiscal year after
6 the year in which the municipality first certifies to the
7 county auditor the amount of any loans, advances, indebtedness,
8 or bonds which qualify for payment from the division of the
9 revenue in connection with the project.

10

DIVISION VI

11

URBAN RENEWAL AREA LIMITATIONS

12 Sec. 12. Section 331.403, subsection 3, paragraph b, Code
13 2025, is amended by adding the following new subparagraph:

14 NEW SUBPARAGRAPH. (22) For purposes of determining
15 compliance with section 403.5A, the percentage of actual value
16 of all property within the county's area of operation, as
17 defined in section 403.17, that is located in an urban renewal
18 area established by the municipality and in effect for the
19 applicable fiscal year.

20 Sec. 13. Section 384.22, subsection 2, paragraph b, Code
21 2025, is amended by adding the following new subparagraph:

22 NEW SUBPARAGRAPH. (22) For purposes of determining
23 compliance with section 403.5A, the percentage, of actual
24 value of all property within the city's area of operation, as
25 defined in section 403.17, that is located in an urban renewal
26 area established by the municipality and in effect for the
27 applicable fiscal year.

28 Sec. 14. NEW SECTION. **403.5A Percentage of municipal value**
29 **within urban renewal areas — limitations.**

30 For fiscal years beginning on or after July 1, 2026,
31 and notwithstanding any provision of this chapter to the
32 contrary, each municipality shall be subject to the following
33 limitations:

34 1. For the fiscal year beginning July 1, 2026, the actual
35 value in the aggregate of all property located in urban

1 renewal areas established and in effect for the fiscal year
2 by a municipality shall not exceed ninety-six and one-fourth
3 percent of the total actual value of all property within the
4 municipality's area of operation.

5 2. For each fiscal year beginning on or after July 1, 2027,
6 but before July 1, 2047, the actual value in the aggregate of
7 all property located in urban renewal areas established and in
8 effect for the fiscal year by a municipality shall not exceed
9 the limitation percentage of the total actual value of all
10 property within the municipality's area of operation. For
11 purposes of this subsection, the "*limitation percentage*" for
12 each fiscal year shall be a percentage equal to the limitation
13 percentage applicable under this subsection for the immediately
14 preceding fiscal year, or for the fiscal year beginning July 1,
15 2027, the percentage applicable under subsection 1, minus three
16 and three-fourths percent.

17 3. For each fiscal year beginning on or after July 1, 2047,
18 the actual value in the aggregate of all property located in
19 urban renewal areas established and in effect for the fiscal
20 year by a municipality shall not exceed twenty percent of the
21 total actual value of all property within the municipality's
22 area of operation.>

23 2. Title page, by striking lines 1 and 2 and inserting <An
24 Act relating to economic development and housing by modifying
25 provisions concerning economic development programs and
26 modifying provisions concerning Iowa's urban renewal law, and
27 including applicability provisions.>

DAN DAWSON